IPO ANALYSIS REPORT · RHP

EAAA India Alternatives Limited

Mainboard · Alternative asset management (real assets, private credit) · filed 2026-01-22 · lead manager(s): Axis Capital; Jefferies India; Motilal Oswal Investment Advisors; Nuvama Wealth Management · issue size Rs 1,200 cr · price band: Rs 1,585-1,665 · analysed 2026-10-24

CALL

Avoid

BUSINESS STAGE

Established and scaling (fee-paying AUM growing 30%+)

A scaled alternatives manager (fee-paying AUM Rs 48,623 cr, +27% a year) priced at 41x FY26 earnings, in line with listed asset managers (median 38.7x); our fair value is Rs 1,130 (Neutral) because the DCF does not support peer multiples and profit benefits from capitalised distribution costs. Avoid at Rs 1,665, narrowly; it would be Neutral at about Rs 1,615 or below.

Revenue FY26 **₹870 cr** CAGR FY24-FY26: **32.9%**	PAT FY26 **₹265 cr** CAGR FY24-FY26: **23.1%**	EBITDA margin **37.2%** FY24: **33.1%**	Cash conversion (CFO / PAT, 3 yrs) **15.2%**
Cash tax rate (3 yrs) **-0.9%**	P/E at reference (post-issue) **40.8x** peer median: **38.7x**	Adjusted P/E (earnings quality) **73.6x** reported: **40.8x**	Blended value (Neutral) **₹1,130.41** vs reference: **-32.1%**

Reference price

₹1,665

Upper band Rs 1,665 (NSE issue page). At Rs 1,665: market cap Rs 10,702.7 cr (Rs 10,815.1 cr fully diluted); P/E 41.3x FY26 diluted EPS (40.8x on diluted shares, 33.5x on annualised Q1 FY27); P/B 9.3x Jun-26 diluted book. Pure OFS: no new money for the company.

Report structure

Business of the company

Industry outlook

Moat and SWOT analysis

Management analysis and governance

Historical financials and ratios

Future outlook and projections

Valuation: DCF and peer comparison (P2P)

Areas to watch and growth drivers

Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

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STAGE

Mainboard · RHP

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Basis. EAAA India Alternatives (formerly Edelweiss Alternative Asset Advisors) is the alternatives arm of the Edelweiss group. The issue is a **pure offer for sale of Rs 1,200 cr** by promoter Edelweiss Securities and Investments (ESIPL), cut from the Rs 1,500 cr in the DRHP; **the company receives nothing**. Price band **Rs 1,585-1,665**, lot 9 shares (Rs 14,985 at the upper band); anchor bidding 23-Oct-2026; bid/issue **26-Oct**

> **to 28-Oct-2026**; allotment on or about 29-Oct; listing on NSE and BSE on or about 2-Nov-2026 (NSE issue page, read 24-Oct-2026). BRLMs: Axis Capital, Jefferies, Motilal Oswal, Nuvama; registrar MUFG Intime. Sources: the DRHP dated 19-Jan-2026 ("DRHP p.", printed page = PDF page - 3) and SEBI's **Addendum** of Sept-2026, which updates the restated consolidated financials to **30-Jun-2026** (116 days old) together with the basis for offer price and KPIs ("Add. p.", PDF page). The RHP itself and the anchor allocation report sit on an NSE archive host that this environment cannot reach.
>
> Judged at the **upper band, Rs 1,665**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** manages alternative investment funds for institutions and wealthy investors, in two verticals (DRHP pp. 222-224):
  - **Real Assets** (49.8% of fee-paying AUM at Sep-25): infrastructure yield funds (roads, transmission, renewables, including an InvIT), commercial real estate yield, perpetual capital and, from FY26, energy transition.
  - **Private Credit** (48.0%): performing credit, special situations, real-estate credit and investment-grade credit; the oldest strategy dates from FY10.
  - Others (2.2%): co-investment PMS.
- **Scale:** AUM Rs 65,504 cr and fee-paying AUM (FPAUM) Rs 38,552 cr at Sep-25 (DRHP p. 222); FPAUM Rs 44,710 cr at Mar-26 and **Rs 48,623 cr at Jun-26** (Add. p. 7). Most large funds are in their third or fourth series.
- **Clients:** 5,398 client relationships; 51.67% of AUM from institutions (pension funds, insurers, banks), 48.33% from UHNIs, HNIs and family offices; 73% of AUM from repeat clients; offices in Mumbai, Delhi, GIFT City and Singapore (DRHP pp. 222-223).
- **How it earns** (FY26, Add. p. 7):
  - management and advisory fees Rs 579.07 cr, charged on committed or invested capital or NAV;
  - carry, which the company calls "Variable Additional Return", Rs 290.47 cr, earned once a fund clears its hurdle rate;
  - GP income Rs 79.95 cr, the return on its own investments alongside its funds.
- **Operating platform:** subsidiary Sekura runs and improves the infrastructure assets the funds own (57 people); the investment team has 80 professionals (DRHP p. 224).

Stage of the business

Classification: established and scaling.

Evidence	Reading
FPAUM Rs 30,398 → 33,833 → 44,710 cr FY24-26; Rs 48,623 cr at Jun-26	Fee base growing 20-30% a year
Management fees Rs 398.01 → 479.53 → 579.07 cr	Recurring revenue compounding at about 20%
Carry Rs 94.57 → 190.73 → 290.47 cr; Q1 FY27 Rs 108.95 cr	Older funds now paying carry
15+ years of track record; repeat-series funds	Mature franchise
PAT FY23 Rs 322.19 cr, FY24 Rs 175.16 cr, FY26 Rs 265.20 cr	Profit swings with carry

2. Industry outlook

Industry figures come from the CARE report commissioned and paid for by the issuer (DRHP p. 222); we have not checked them independently.

- **What alternatives are:** private credit, private equity, real estate, infrastructure and hedge strategies, used by institutions and wealthy investors for yield and diversification (DRHP p. 17).
- **Why India:** a bank-led credit market leaves room for private credit; large infrastructure build-out and asset recycling (InvITs, operating-asset sales) need long-term yield capital; domestic family offices and global pension funds are raising allocations (DRHP pp. 158 onwards).
- **Competition:** domestic alternatives houses (360 ONE, Kotak Alternate, ICICI Pru AMC's AIF arm, Nuvama), global managers (Brookfield, KKR, Blackstone) and wealth platforms that place AIFs. Gaja Alternative Asset Management is the only listed pure-play peer named, and it has no data in the offer document (Add. p. 9).
- **Read for an investor:** a structural growth industry, but each fund's economics depend on raising money, deploying it and exiting well; carry arrives in lumps.

3. Moat and SWOT analysis

Moat

- **Track record and repeat series:** funds that have returned capital through cycles can raise larger follow-on funds; 73% of AUM comes from repeat clients (DRHP p. 222).
- **Operating capability in infrastructure:** Sekura's asset-management team gives an edge in buying, running and recycling operating roads and power assets (DRHP pp. 222, 224).
- **Global client coverage:** institutional LPs from North America, Europe, the Middle East and Asia, plus GIFT City and Singapore vehicles (DRHP p. 223).
- **Locked-in fees:** closed-ended funds pay fees for 5-10 years once raised, so revenue is visible.
- **Limits:** key people and the Edelweiss brand matter; the MD & CEO resigned in Sep-2025 (DRHP p. 272).

STRENGTHS

- One of India's larger alternatives platforms: AUM Rs 65,504 cr (Sep-25), fee-paying AUM Rs 48,623 cr (Jun-26) (DRHP p. 222; Add. p. 7)
- Funds in third and fourth series; 73% of AUM from repeat clients (DRHP p. 222)
- ROE 25.97% in FY26 with modest capex (Add. p. 7)
- Management fees up 20-21% a year FY25-26 (Add. p. 7)
- Asset operating platform (Sekura) for infrastructure portfolios (DRHP p. 222)

WEAKNESSES

- Carry is a third of revenue and lumpy; FY23 PAT (Rs 322.19 cr) was higher than FY25 (DRHP p. 19)
- Capitalised distribution costs flatter reported profit while fund-raising grows (Add. p. 119)
- Cost-to-income 63.8% (FY26), 68.5% in Q1 FY27, well above AMC peers (Add. p. 7)
- MD & CEO resigned in Sep-2025; now led by two CEOs (DRHP p. 272)
- Group linkages: brand, past rights purchases, dividend to promoter (DRHP pp. 22-24)

OPPORTUNITIES

- Indian alternatives industry growth (issuer-paid CARE report, DRHP p. 158)
- Infrastructure yield, InvIT and energy-transition funds (DRHP p. 223)
- Global and GIFT City fund-raising (DRHP p. 223)
- Realisation of accrued carry in maturing funds (Add. p. 108)

THREATS

- Fund underperformance reducing carry and fund-raising (DRHP p. 20)
- Valuation subjectivity in unlisted fund assets (DRHP p. 20)
- Tax and regulatory changes for AIFs (DRHP p. 20)
- Overhang: promoter group holds about 84% after the OFS

4. Management analysis and governance

- **Board (nine directors, DRHP pp. 266-268):** Rashesh Shah (Executive Chairman and Whole-time Director; founder and chairman of Edelweiss Financial Services); two non-executive group nominees (Priyadeep Chopra, Ananya Suneja); six independent directors including Sunil Phatarphekar, William Preston Hutchings, Neeta Mukerji, Sampa Bhasin, Sunil Kakar and Balagopal Chandrasekhar. Independent directors are a majority.
- **Executives:** two CEOs, Amit Agarwal and Subahoo Chordia (DRHP p. 1). Venkat Ramaswamy, MD & CEO from Aug-2024, resigned on 30-Sep-2025 for personal reasons (DRHP p. 272). The senior team has worked in the Edelweiss group for about 18 years on average (DRHP p. 224).
- **Ownership:** before the offer the promoter group holds 95.58% and 41 public shareholders hold 4.42%. The public holders bought 28.40 lakh shares from group company Edelweiss Investment Adviser in a secondary sale in Mar-2026; the price is not in the documents we can read (Add. pp. 5-6). After the OFS the group would hold about 84%.
- **Pay and ESOP:** ESOP cost Rs 30.51 cr in FY26, with 6.75 lakh options vested (Add. pp. 5, 108). The former MD's pay was Rs 8.20 cr in H1 FY26 (DRHP p. 32).
- **Related parties:** in FY25 it bought asset-management rights (Rs 21.32 cr), sponsor units (Rs 3.30 cr) and carry rights (Rs 4.92 cr) from group companies; group term loans have been repaid; it pays group entities small distribution and advisory fees (DRHP pp. 22-24, 348). In FY26 it paid a Rs 205.70 cr dividend, 78% of FY26 PAT, almost all of it to the group (Add. p. 108).
- **Litigation:**
  - Against the company: one criminal complaint (by a real-estate borrower), two tax cases and one regulatory matter, Rs 0.46 cr in total.
  - Against directors and KMP: four criminal matters (Rs 1.66 cr).
  - Against the promoters: 33 tax matters (Rs 214.93 cr), at the Edelweiss group level (DRHP pp. 19-20).
- **Read:** an institutional-grade board and an experienced team inside a listed parent with a long history in alternatives. The points to watch are leadership continuity after the CEO change, and how group interests are kept apart from the listed company now that outside shareholders own 16%. None is a material issue under the Fund's rules.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY24	FY25	FY26	Q1 FY27 (3 months)
Fee-paying AUM (period end)	30,398	33,833	44,710	48,623
Management and advisory fees	398.01	479.53	579.07	166.58
Carry (Variable Additional Return, booked)	94.57	190.73	290.47	108.95
Revenue from operations	492.58	670.26	869.54	275.53
GP income (in other income)	78.68	102.14	79.95	55.23
Total income	584.25	786.54	963.76	336.13
Employee cost	216.72	302.11	381.65	137.12
Operating EBITDA (our computation, pre-exceptional)	162.85	228.37	323.27	59.44
Operating EBITDA margin (on revenue from operations)	33.1%	34.1%	37.2%	21.6%
PAT	175.16	229.78	265.20	80.71
Diluted EPS (Rs)	27.25	35.75	40.36	12.29
Cash flow from operations	-13.27	-120.17	235.24	130.38
Realised carry (cash)	n.a.	n.a.	430.69	338.10
Net worth	729.48	966.45	1,075.54	1,160.38
Borrowings	444.83	507.49	441.03	399.20
Investments (fund and GP)	1,038.46	1,225.39	1,081.97	927.77
ROE (issuer)	27.30%	27.10%	25.97%	28.96% (annualised)
Cost-to-income	63.60%	63.85%	63.84%	68.52%

Sources: Add. pp. 7, 106-108; DRHP p. 19. FY23 (old basis): revenue Rs 652.59 cr, PAT Rs 322.19 cr. Operating EBITDA = PBT + finance cost + D&A - other income; FY26 excludes the Rs 9.88 cr labour-code charge.

At the upper band (Rs 1,665): 6.4280 crore shares (6.4955 crore with vested options); market cap Rs 10,702.7 cr (Rs 10,815.0 cr diluted); P/E 40.8x FY26 PAT on diluted shares (41.3x on diluted EPS; 33.5x on annualised Q1 FY27); P/B 9.3x Jun-26 book; EV about Rs 10,062 cr after net cash and investments of Rs 752.58 cr, 31.1x FY26 operating EBITDA. At Rs 1,585: P/E 38.8x. The OFS is 72.07 lakh shares, 11.1% of diluted capital.

Positives and points to monitor

Positives	Points to monitor
Management fees +21% in FY26; FPAUM +27% YoY at Jun-26 (Add. p. 7)	Q1 FY27 margin 21.6% as employee cost doubled (Add. p. 107)
Realised carry Rs 768.79 cr in FY26 plus Q1 FY27 (Add. p. 108)	Prepaid distribution cost Rs 667.94 cr and rising (Add. pp. 133, 138)
Net cash and investments exceed borrowings (Add. p. 106)	Current tax small until carry is realised (Add. p. 107)
ROE 26-29% (Add. p. 7)	Rs 205.70 cr dividend to the group in FY26 (Add. p. 108)

Is the reported P/E right? Earnings quality at Rs 1,665

Reported FY26 P/E of 40.8x is flattered by the items flagged: adjusted P/E 73.6x (PAT -44.6%). On the FY24-FY26 average, which smooths one-year items, the P/E is 48.4x reported and 86.4x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	265.2	40.83	**40.8x**
FY26 after: capitalised distribution cost	140.21	21.59	**77.1x**
FY26 after: labour-code charge	147.6	22.72	**73.3x**
FY26 after: prior-year tax credit	146.97	22.63	**73.6x**
FY24-FY26 average, reported	223.38	34.39	**48.4x**
FY24-FY26 average, adjusted	125.22	19.28	**86.4x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Upfront selling and distribution costs of fund-raising capitalised as prepaid expenses (net increase in the year) Upfront and trail fees paid to distributors for raising funds are amortised over each fund's tenure; the unamortised balance (prepaid expenses, current + non-current) rose from Rs 255.01 cr (FY23) to Rs 384.57 / 471.52 / 638.55 cr (FY24-26) and Rs 667.94 cr at Jun-26. Ind AS permits capitalising incremental costs of	-129.56	-86.95	-167.03	! Yes	Medium	77.1x	Add. pp. 119, 133, 138; DRHP pp. 329, 333

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PLACE
obtaining a contract and this matches the fee stream, but expensing them as paid would cut FY26 pre-tax profit by Rs 167.03 cr. Flag: timing, not a cash leak - the cost is real and is being recognised over time.							
One-off charge for the new Labour Codes (exceptional item) Statutory impact of the new Labour Codes, Rs 9.88 cr, shown as an exceptional item in FY26; one-off, so added back.	0	0	9.88	! Yes	High	39.7x	Add. p. 107
Tax credit for earlier years (grossed up to pre-tax) Excess tax of earlier years written back: Rs 13.70 cr in FY24, Rs 0.53 cr in FY25, Rs 0.64 cr in FY26 (post-tax). Shown grossed up so the post-tax effect matches.	-18.31	-0.7	-0.85	! Yes	Medium	40.9x	Add. p. 107
Unrealised carry (Variable Additional Return booked at fair value)	-94.57	-190.73	-290.47	No (information)	Medium	226.1x	Add. pp. 7, 108

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Carry is recognised as the fund NAV crosses its hurdle, before it is paid; it is a normal accounting policy and was realised in cash at Rs 430.69 cr in FY26. Excluding it gives a fee-plus-investment-income view of the P/E. For information.							
GP income: interest and fair-value gains on the company's own fund investments Returns on the company's sponsor and co-investment commitments, reported in other income. Recurring for an alternatives manager but market-linked. For information.	-78.68	-102.14	-79.95	No (information)	High	52.7x	Add. p. 7

Also checked, no adjustment needed

✔ Pass Carry recognised is backed by realisation: FY26 realised carry Rs 430.69 cr exceeded the Rs 290.47 cr recognised; Q1 FY27 realised Rs 338.10 cr (Add. pp. 7, 108)

✔ Pass ESOP cost (Rs 30.51 cr in FY26, Rs 5.34 cr in Q1 FY27) is expensed through profit (Add. p. 108)

✔ Pass Capital work in progress is small (Rs 1.56 cr); no capitalised development cost; the one capitalised cost is distribution fees, shown as an adjustment above (Add. p. 106)

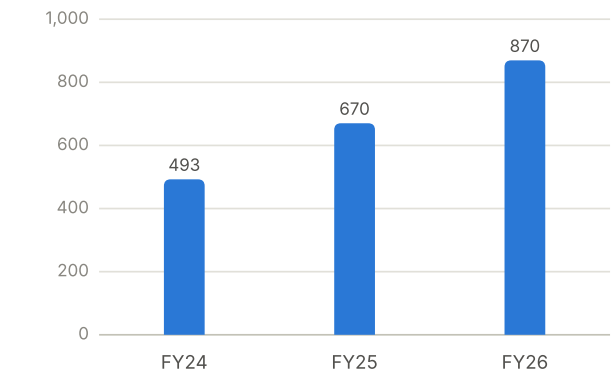
✔ Pass Intangibles are acquired asset-management rights, amortised (Add. p. 106)

✔ Pass Credit-loss provisions small (Rs 0.07 cr FY26) (Add. p. 107)

✔ Pass Deferred tax reverses into current tax as carry is realised (Q1 FY27) (Add. p. 107)

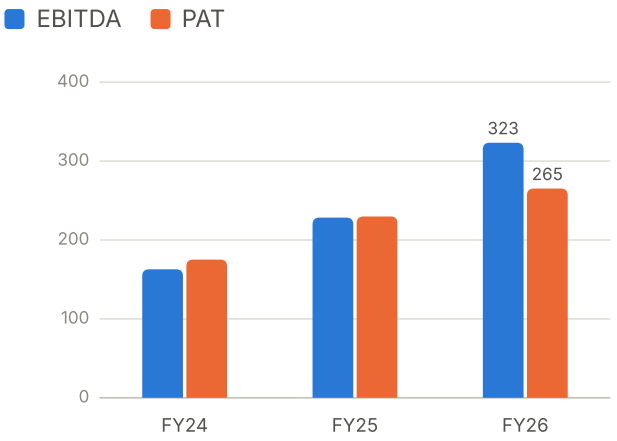
Revenue from operations

Rs crore



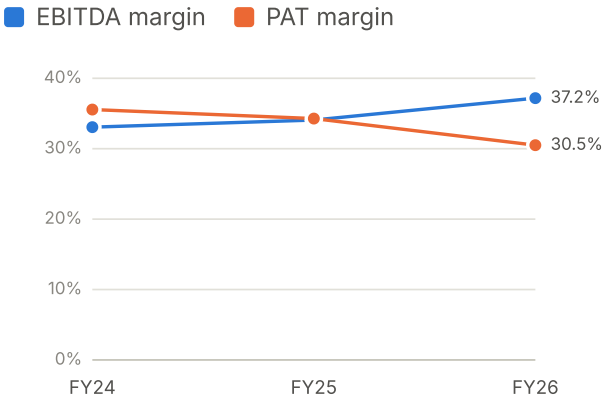
EBITDA and PAT

Rs crore



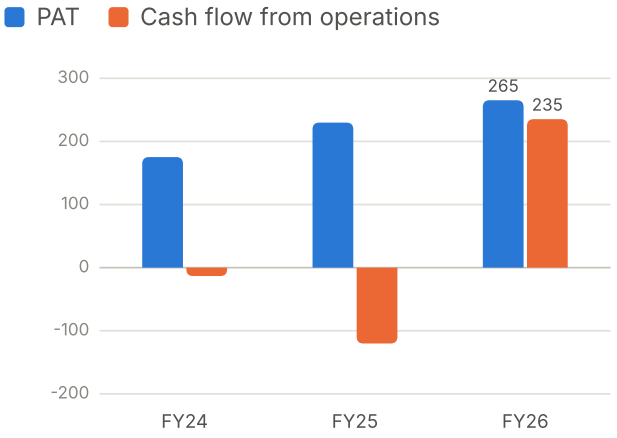
Margins

% of revenue



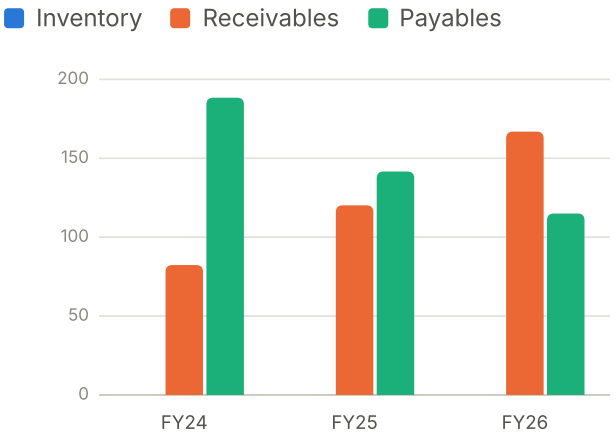
Profit and operating cash flow

Rs crore



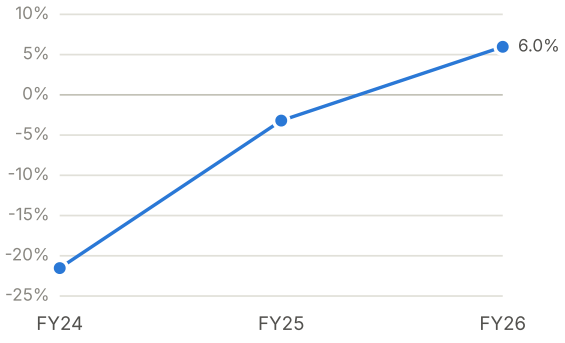
Working capital

Rs crore, year end



Net working capital

% of revenue



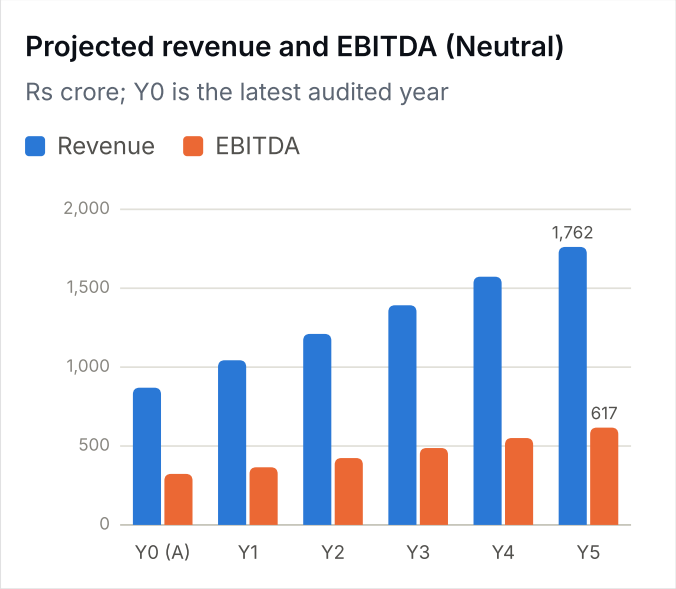
6. Future outlook and projections

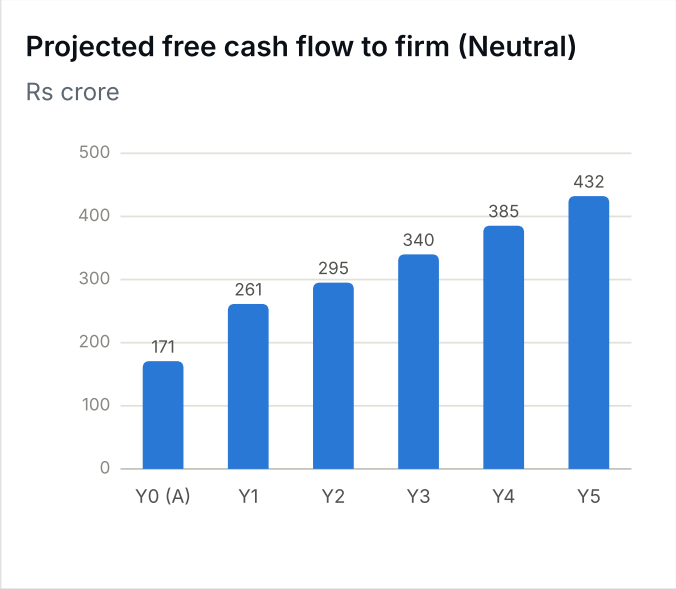
Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

- **Fee visibility:** FPAUM of Rs 48,623 cr at Jun-26 locks in management fees for the life of the funds; at the FY26 yield (fees Rs 579 cr on average FPAUM of about Rs 39,300 cr, about 1.5%) the Jun-26 base implies roughly Rs 700 cr of annual fees before new fund-raising (our computation from Add. p. 7).
- **Carry:** realised carry of Rs 768.79 cr over FY26 and Q1 FY27 shows older infrastructure and credit funds paying out; future carry depends on exits and is the most uncertain line.
- **Costs:** cost-to-income near 64%, with pay linked to carry; Q1 FY27 shows employee cost can jump in a strong carry quarter.
- **Capital:** no new money from the IPO; the business funds its own GP commitments, and borrowings have fallen to Rs 399.20 cr.

Neutral projection used in the model (Rs crore):

	FY26 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	29.7%	20%	16%	15%	13%	12%
Revenue from operations	869.54	1,043.45	1,210.40	1,391.96	1,572.91	1,761.66
Operating EBITDA (35%)	323.27	365.21	423.64	487.19	550.52	616.58
Free cash flow to firm	n.a.	261.3	295.1	339.9	385.3	432.2





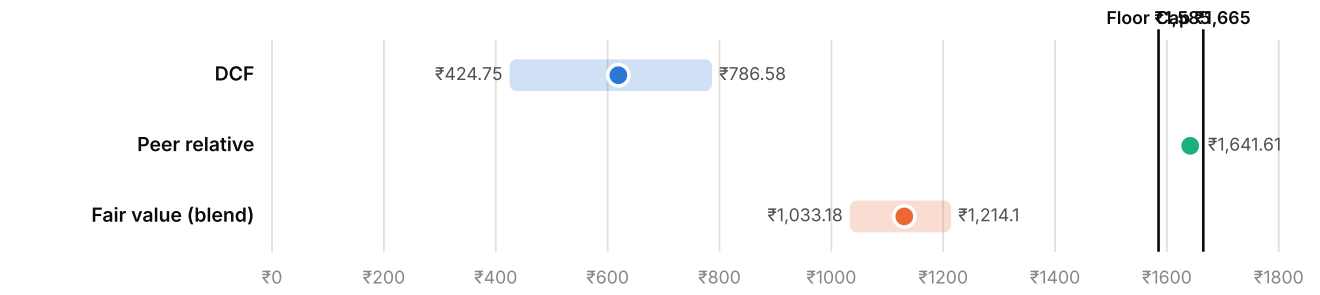
7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 1,665 (NSE issue page). At Rs 1,665: market cap Rs 10,702.7 cr (Rs 10,815.1 cr fully diluted); P/E 41.3x FY26 diluted EPS

(40.8x on diluted shares, 33.5x on annualised Q1 FY27); P/B 9.3x Jun-26 diluted book. Pure OFS: no new money for the company.

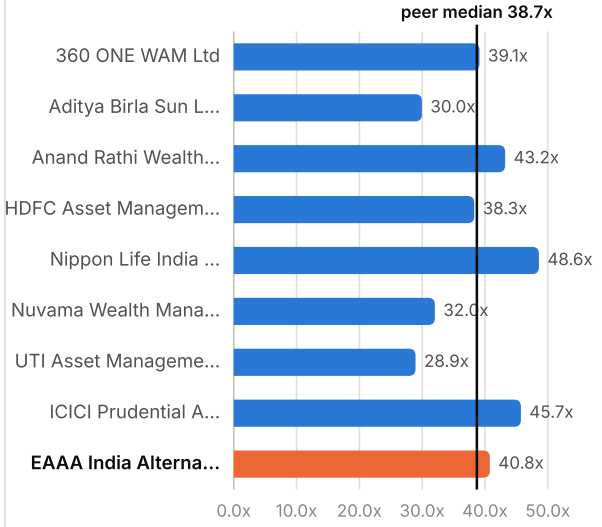
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



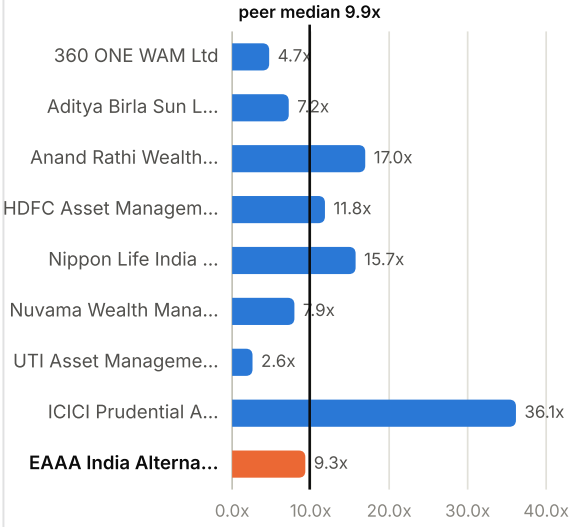
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹424.75	₹1,641.61	**₹1,033.18**	-38.0%
Neutral	₹619.21	₹1,641.61	**₹1,130.41**	-32.1%
Bull	₹786.58	₹1,641.61	**₹1,214.1**	-27.1%

WACC **14.3%**

Terminal value share of EV **65.5%**

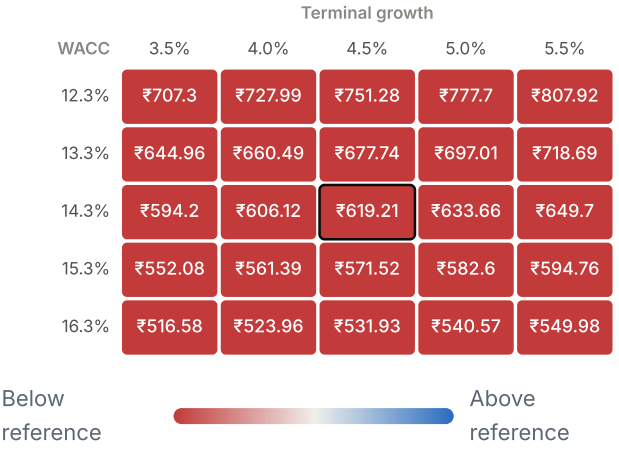
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	12.4%	4.5%
implied WACC at terminal g	6.3%	14.3%
required EBIT margin (steady state)	163.5%	35.7%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	6.0%

The price asks the business to deliver 58.9 times its current free cash flow, in perpetuity.

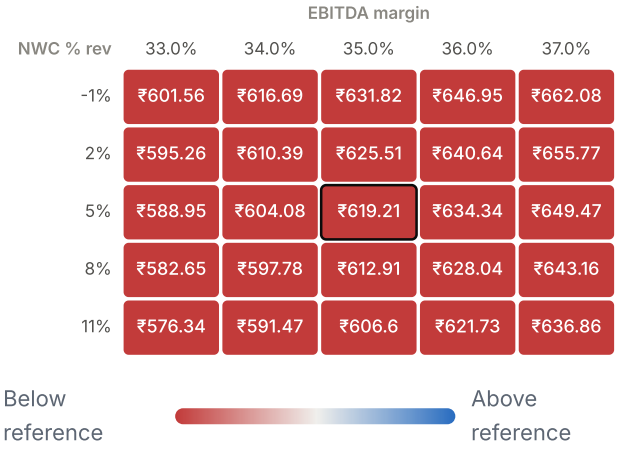
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the Addendum's "Basis for Offer Price" (Add. p. 9): BSE closes on 31-Jul-2026 and FY26 consolidated figures. Gaja Alternative Asset Management is listed in the offer document without data.

Company	CMP (Rs)	Revenue FY26 (Rs cr)	Diluted EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
360 ONE WAM	1,142.10	4,361.62	29.19	242.17	14.39%	39.1x	4.7x
Aditya Birla Sun Life AMC	1,008.90	1,845.03	33.68	139.94	25.10%	30.0x	7.2x
Anand Rathi Wealth	2,038.20	1,148.83	47.17	120.23	47.54%	43.2x	17.0x
HDFC AMC	2,546.25	4,122.16	66.50	215.42	32.93%	38.3x	11.8x
Nippon Life India AM	1,148.15	2,708.74	23.63	73.01	34.48%	48.6x	15.7x
Nuvama Wealth Management	1,795.20	4,630.69	56.06	226.37	27.34%	32.0x	7.9x
UTI AMC	909.10	1,698.05	31.41	350.50	10.38%	28.9x	2.6x
ICICI Prudential AMC	3,050.70	5,764.63	66.73	84.39	86.18%	45.7x	36.2x
EAAA at Rs 1,665 (diluted)	1,665	869.54	40.36	178.64	25.97%	**40.8x**	**9.3x**
Peer median					30.1%	38.7x	9.9x

Read: at the upper band EAAA trades in line with listed asset and wealth managers: P/E 40.8x against a 38.7x median, P/B 9.3x against 9.9x. Its business differs from theirs. Its fees are locked in for years (closed-ended funds), but a larger share of profit comes from carry, its costs are higher (cost-to-income 64% against 20-38% for mutual-fund AMCs), and capitalised distribution costs make its P/E look lower than the others' (part 5). Against 360 ONE, the closest alternatives-and-wealth peer, the P/E is similar (39.1x).

DCF and fair value

Inputs (FY26 P&L; Jun-26 balance sheet; Rs crore): revenue from operations 869.54; operating EBITDA 323.27 (37.2%); D&A 13.02; PAT 265.20; net worth 1,160.38; net debt -752.58 (borrowings 399.20 + leases 23.32 - cash and bank 247.32 - fund and GP investments 927.77, added because investment income is excluded from EBITDA); trade working capital 51.91; capex 1.13. Pure OFS: no proceeds and no new shares; diluted shares 6.4955 crore.

Cost of capital (house CAPM, editable): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium; cost of equity 16.2%; pre-tax cost of debt 9.0%; debt weight 20%; **WACC 14.31%**; terminal growth 4.50%; terminal ROIC 40%. Terminal value is 65.5% of enterprise value.

Rs per share	Bear	Neutral	Bull
DCF	424.75	619.21	786.58
Relative (peer-median P/E and P/B)	1,641.61	1,641.61	1,641.61
Fair value (50:50 blend)	**1,033.18**	**1,130.41**	**1,214.10**
Against Rs 1,665 (upper band)	-37.9%	-32.1%	-27.1%
Against Rs 1,585 (floor)	-34.8%	-28.7%	-23.4%

- **Scenario drivers:** growth 7-8% / 12-20% / 14-28% a year; operating EBITDA margin 30% / 35% / 38%; working capital 4-6% of revenue; terminal ROIC 30% / 40% / 50%. Rationale and page cites are in the valuation workbook.

- **Why DCF and peers diverge (-62%):** at a 14.3% discount rate, cash flows growing 12-20% a year support about 15x FY26 earnings; listed asset managers trade at 29-49x because the market prices long-duration, high-return fee franchises at much lower discount rates. The divergence is the finding: the price is a market multiple, not a cash-flow value.
- **Sensitivity (Neutral DCF):** WACC 12.3% / 13.3% gives Rs 751 / 678; with capitalised distribution costs treated as working capital (cash basis), Rs 550. The discount rate is the main lever.
- **Earnings quality and the relative value:** the relative value uses reported earnings. On the adjusted P/E (part 5) the peer-implied value would be much lower, so the relative value is, if anything, generous.
- **Reverse DCF at Rs 1,665:** the price asks the business to deliver 58.9 times its current free cash flow in perpetuity. **In plain words: the price assumes EAAA is valued like a listed mutual-fund house, on multiples that already price in many years of AUM growth.**

8. Areas to watch and growth drivers

Growth drivers to track

- **Fund-raising:** FPAUM growth (27% YoY at Jun-26) and closes of new series in infrastructure yield, private credit and energy transition (Add. p. 7; DRHP p. 223).
- **Fee yield:** management fees per unit of FPAUM as funds mature and larger institutional mandates come in.
- **Carry realisation:** cash carry against booked carry each year (FY26 Rs 430.69 cr realised vs Rs 290.47 cr booked).
- **Cost discipline:** cost-to-income back towards 60% after Q1 FY27's 68.5%.
- **Distribution cost:** growth in the prepaid balance relative to fees.

Points to monitor

Item	Now	Why it matters to an investor
Capitalised distribution cost	Rs 667.94 cr, 58% of net worth (Add. pp. 133, 138)	Gap between reported and cash-basis profit
Carry share of revenue	33% in FY26, 40% in Q1 FY27 (Add. p. 7)	Profit volatility
Leadership	MD & CEO resigned Sep-2025; two CEOs (DRHP p. 272)	Continuity of investment teams and LP trust
Group dealings	Dividend Rs 205.70 cr to the group; past rights purchases (Add. p. 108; DRHP pp. 22-23)	Minority-shareholder alignment
Promoter overhang	About 84% held by the group after the OFS	Future sell-downs
Anchor book	Not readable here	Quality of institutional demand

What would change our view

- **Towards Neutral or Subscribe:** allotment nearer the Rs 1,585 floor (which reads Neutral under the rule); evidence that fee growth of 20%+ continues with margins back above 35%; slower growth of the prepaid distribution balance.
- **Towards a firmer Avoid:** a weak carry year, outflows after the CEO change, or further large dividends or related-party transfers to the group.
- **Price:** fair value does not depend on the price here (no fresh issue). The call rule reads **Neutral at or below about Rs 1,615** and Subscribe at or below about Rs 1,256.

Risks

- Fund performance and exits driving carry and future fund-raising (DRHP p. 20).
- Valuation subjectivity for unlisted fund assets (DRHP p. 20).
- Clients failing to honour capital calls (DRHP p. 20).
- AIF tax or regulatory changes (DRHP p. 20).
- Key-person risk and dependence on the Edelweiss brand.

9. Conclusion

CALL

Avoid

STAGE

Mainboard · RHP

A scaled alternatives manager (fee-paying AUM Rs 48,623 cr, +27% a year) priced at 41x FY26 earnings, in line with listed asset managers (median 38.7x); our fair value is Rs 1,130 (Neutral) because the DCF does not support peer multiples and profit benefits from capitalised distribution costs. Avoid at Rs 1,665, narrowly; it would be Neutral at about Rs 1,615 or below.

Business stage Established and scaling (fee-paying AUM growing 30%+)

Avoid at Rs 1,665 (upper band), narrowly.

The investment case. EAAA is one of India's larger alternatives managers: fee-paying AUM of Rs 48,623 cr growing about 27% a year, funds in their third and fourth series, a strong infrastructure-yield and private-credit franchise, an institutional client base and ROE in the high twenties. Management fees are locked in for years, and older funds are now paying meaningful carry in cash.

What holds the value down. At Rs 1,665 the stock is priced like a listed mutual-fund house (40.8x earnings, peer median 38.7x), but a third of revenue is lumpy carry, costs are high, and reported profit benefits from capitalising distribution costs: on a cash-expense basis the P/E is 73.6x. The whole issue is an Edelweiss sell-down; the company gets no capital.

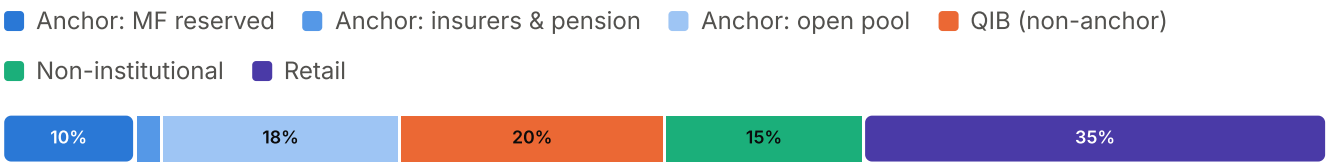
Valuation. Fair value Rs 1,033 / **Rs 1,130** / Rs 1,214 (Bear / Neutral / Bull). **Call rule:** at the upper band the Neutral value is 32.1% lower and the Bull value 27.1% lower, so the rule reads **Avoid**, on valuation alone and only just past the 30% line. At the Rs 1,585 floor (-28.7%) it would read Neutral. No material issue was found. On peer multiples alone the issue is fairly priced; the gap is our cash-flow view.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 1,200 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	10.81	30
Anchor - tranche 2	10.81	90
Promoter-group shareholders above the 20% minimum contribution (post-OFS)	412.42	180
Promoters' minimum contribution (20% of post-issue capital)	129.91	540
Public shareholders from the Mar-2026 secondary purchase (28.40 lakh shares)	28.4	180

Lead manager: Motilal Oswal Investment Advisors Limited

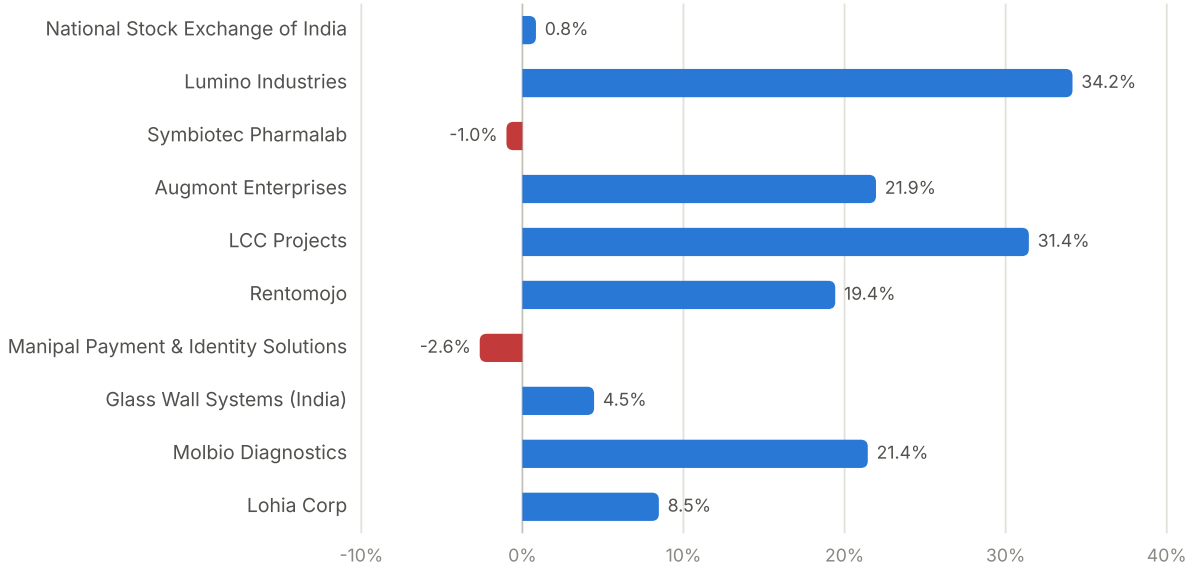
Listed: Parent Motilal Oswal Financial Services Ltd is listed (NSE: MOTILALOFS); the merchant bank itself is a subsidiary - not independently verified

Owner: –

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	14	42,098
FY2025-26	21	49,298
FY2024-25	7	10,836

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	6,42,80,246 shares of Rs 5 plus 6.75 lakh vested options (diluted 6,49,55,246). FY26 EPS 41.26 basic / 40.36 diluted; FY23 EPS 84.99 was on fewer shares before CCD conversion in FY24-25 (DRHP p. 19).	Add. pp. 5, 7
2	Cash flow vs profit	! Watch	Operating cash flow Rs -13.27 / -120.17 / +235.24 cr FY24-26 against PAT Rs 175.16 / 229.78 / 265.20 cr (cumulative 15%). Carry ('Variable Additional Return') is booked at fair value before it is received: unrealised carry Rs 94.57 / 190.73 / 290.47 cr was recognised, while realised carry of Rs 430.69 cr (FY26) and Rs 338.10 cr (Q1 FY27) came in as cash. FY26-Q1 FY27 operating cash flow Rs 365.6 cr against PAT Rs 345.9 cr.	Add. pp. 107-108
3	Current vs deferred tax	! Watch	Current tax only Rs 3.94 cr on FY26 PBT Rs 338.64 cr, deferred tax Rs 69.50 cr: tax on unrealised carry and fair-value gains is deferred until realisation (deferred tax liability Rs 145.06 cr at Jun-26). In Q1 FY27, as carry was realised, current tax was Rs 56.41 cr with a Rs 31.31 cr deferred-tax reversal. Tax follows cash, as expected.	Add. p. 107
4	Related-party capex & subsidiaries	! Watch	Part of the Edelweiss group: in FY25 it bought asset-management rights (Rs 21.32 cr), sponsor units and carry rights from group companies; group term loans have been repaid; a dividend of Rs 205.70 cr (78% of FY26 PAT) was paid to the group in FY26 before the IPO. Executive Chairman Rashesh Shah also chairs EFSL.	DRHP pp. 22-24; Add. p. 108
5	Objects arithmetic as price floor	– N.A.	Pure offer for sale by Edelweiss Securities and Investments; the company receives nothing.	DRHP p. 133
6	Revaluation reserve	! Watch	Distribution costs of raising funds are capitalised and amortised over fund tenure; unamortised balance Rs 667.94 cr at Jun-26 (58% of net worth), up Rs 167.03 cr in FY26. Permitted by Ind AS and matched to fees, but reported profit is higher than on a pay-as-you-go basis while fund-raising grows (adjusted P/E in part 5).	Add. pp. 119, 133, 138
7	Goodwill vs tangible equity	✔ Pass	No goodwill; intangibles Rs 14.14 cr are asset-management rights bought from a group company in FY25, being amortised.	Add. p. 106
8	Customer / supplier / geographic concentration	✔ Pass	5,398 client relationships; 51.67% of AUM from institutions; 73% of AUM from repeat clients. No single-client dependence disclosed.	DRHP p. 222
9	Contingent liabilities	✔ Pass	Company contingent liability Rs 0.23 cr. Claims against the promoters (mainly tax, Rs 214.93 cr) sit at the Edelweiss group level.	DRHP pp. 19-21
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✔ Pass	No auditor qualifications requiring adjustment.	DRHP p. 19

#	CHECK	RESULT	FINDING	PAGE
R2	CARO / audit trail	○ Open		
R3	Monitoring agency	– N.A.	No fresh issue, so no monitoring agency.	DRHP p. 133
R4	Eligibility re-computation	○ Open		
R5	SME conditions	– N.A.	Mainboard issue.	cover
R6	Lead-manager track record	○ Open	Four BRLMs (Axis, Jefferies, Motilal Oswal, Nuvama); Motilal Oswal is in the desk database, others not compiled. Nuvama is also a listed peer.	
R7	Firm means of finance	○ Open		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** OFS of Rs 1,200 cr by ESIPL (about 72.07 lakh shares at Rs 1,665) with employee and EFSL-shareholder reservations; QIB 50% of the net offer (anchor up to 60% of that), NII 15%, retail 35% (NSE issue page; DRHP p. 17).
- **Anchor book:** anchor portion 21,62,161 shares (about Rs 360 cr at Rs 1,665), bidding on 23-Oct-2026. The allocation report is on nsearchives.nseindia.com, which is not reachable from this environment, so investors, amount and mutual-fund share are not recorded here.
- **Subscription at the time of writing:** issue not yet open.
- **Lock-ins (to be confirmed in the RHP):** promoters' minimum contribution (20% of post-issue capital, about 129.91 lakh shares) for 18 months; the rest of the promoter-group holding (about 412.42 lakh shares) for six months; other pre-issue holders (28.40 lakh shares bought in Mar-2026) for six months; anchor shares 50% for 30 days and 50% for 90 days.

Appendix B: Merchant bankers

Axis Capital, Jefferies India, Motilal Oswal Investment Advisors and Nuvama Wealth Management. All are large, active managers. Motilal Oswal's record is in the desk database; the others are not compiled in this run. Nuvama is also one of the listed peers in the basis for offer price.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Share count	PASS	6.4280 crore shares plus 6.75 lakh vested options (Add. p. 5)
2	Cash flow vs PAT	WATCH	Cumulative CFO 15% of PAT FY24-26; carry booked before cash; FY26-Q1 FY27 CFO above PAT (Add. pp. 107-108)
3	Current vs deferred tax	WATCH	Tax deferred on unrealised carry; reverses on realisation (Add. p. 107)
4	Related-party dealings	WATCH	Group rights purchases; Rs 205.70 cr dividend to the group (DRHP pp. 22-24; Add. p. 108)
5	Objects as price floor	N.A.	Pure OFS
6	Capitalised costs	WATCH	Distribution costs capitalised: Rs 667.94 cr (Add. pp. 119, 133, 138)
7	Goodwill and intangibles	PASS	Acquired management rights only (Add. p. 106)
8	Concentration	PASS	5,398 clients; 73% repeat (DRHP p. 222)
9	Contingent liabilities	PASS	Rs 0.23 cr at company level (DRHP p. 21)
R1	Auditor	PASS	No qualifications (DRHP p. 19)
R6	BRLM track record	OPEN	Partly compiled

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
RHP not downloadable here; offer terms from the NSE issue page and the SEBI addendum	Medium	RHP
Anchor allocation	Medium	NSE / BSE anchor report
Fund-wise accrued carry still to be realised and fee rates by vertical	Medium	RHP / management
Price of the Mar-2026 secondary sale (28.40 lakh shares)	Low	RHP capital structure
Split of Q1 FY27 employee cost between carry-linked and fixed pay	Low	Management

Verification

- **Restated P&L reproduces:** FY26 total income Rs 963.76 cr less expenses Rs 615.24 cr less the Rs 9.88 cr exceptional charge = PBT Rs 338.64 cr; less tax Rs 73.44 cr = PAT Rs 265.20 cr (Add. p. 107).
- **Balance sheet balances:** Jun-26 total assets Rs 2,101.84 cr = equity Rs 1,160.38 cr + non-current liabilities Rs 546.94 cr + current liabilities Rs 394.52 cr (Add. p. 106).
- **Cash flow:** Q1 FY27 operating, investing, financing and FX (+130.38, -11.96, -55.04, -0.97) sum to the +62.41 change in cash (Add. p. 108).
- **P/E at the band reproduces:** Rs 1,665 / FY26 diluted EPS Rs 40.36 = 41.3x; the issuer's peer P/Es are as printed (Add. pp. 8-9).
- **Workbooks:** the toolkit verification gate passed on this build.

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